Subject: The Mosaic Company- New Business Opportunity- $10M xs $60M ABC
Date: Friday, October 3, 2025 at 1:23:57 PM Central Daylight Time
From: Mongiello, Michelle
To: Haran, Richard, Larson, Paul
Attachments: image001.png, image002.png, image003.png, image004.png, image005.png, image006.png, image007.png, image008.png, image009.png, image010.png, image011.png, image012.png

Hi Rick and Paul,

I am working with Ji Un Saw over at Aon Chicago on this opportunity for The Mosaic Company. I met with her last month in Chicago and have been following up with her on any excess opportunities on the program. She said she would keep me in the loop and just called me on a Markel layer she needs to find a replacement for. She's looking for $74,500 on the layer and will pass along the underlying quotes shortly so I don't have the full line up yet. However, the deal is net of commission with a $5M Primary SIR (AIG). The layer would also be looking for a $50k DDI sublimit xs $600k. Rater supports the pricing as well and I propose we do it subject to the review of the underlying quotes. Definitely a company I think we'd want on the books. The Mosaic Company demonstrated improved profitability and net earnings in Q2 2025 and the first half of 2025, supported by higher selling prices and favorable market conditions, especially in international operations. Liquidity remains strong with substantial access to credit facilities, although operating cash flows declined due to increased inventories and raw material costs. Segment performance was mixed, with Phosphate under pressure from higher costs, while Potash and Mosaic Fertilizantes showed solid gains. Please let me know your thoughts.

Rating Considerations		
Commision	0.0%	
Rating Currency	USD	<< If blank, assumes USD
Current Exchange Rate to 1 USD (CIQ)	1.0000	
3-Month Avg Exchange Rate to 1 USD (CIQ)	1.0000	
Override Exchange Rate		<< If blank, assumes Current CIQ Exchange Rate
Deductible/Retention (USD)	5,000,000	

		Layer Information						US SCA Frequency				US SCA Severity (M)			US SCA Loss Cost	
Layer	Deductible/ Retention	Attachment in excess of deductible (USD)	Limit (USD)	Signed Line	Policy Type	Sold/ Quoted Premium (USD)	Quoted Premium Type	Expected Frequency	Settlement Rate	Chance to Reach Layer	**Excess Exp Freq**	Ground-up Severity	Defense Costs	**Exp Loss in Layer**	Freq x Exp Loss in Layer	PLR
USD 10m xs 60m	5,000,000	60,000,000	10,000,000	100%	ABC	74,500		2.4%	55.0%	34.6%	**0.46%**	84.8	12.7	**9.4**	43,058	59%
Custom layer	5,000,000															
Custom layer	5,000,000															
Custom layer	5,000,000															
Custom layer	5,000,000															

**Modeled Premium includes loadings for Merger Objections, Loss Experience Factors, and Side A Only Discount*

ART Tool:

Account Name Search Results for **THE MOSAIC COMPANY (LM-9-440818)** as of **8/31/2025**

Account Group	Location, City, State	Account	Distribution Segment	Distribution Department	Product	Month, Day, Year of Exp Date	Policy Number	Underwriter	
Grand Total									**$517,665**
MOS HOLDINGS INC. (LM-9-440818) <Chemicals and Allied Products; Phosphatic Fertilizers>	AON RISK SERVICES NORTHEAST INC, NEW YORK, NY	THE MOSAIC COMPANY (THEM5109) TAMPA, FL	LSM West US	Casualty	XLU > OIL & GAS (LSM EN & CONST)	March 1, 2026	1000642127-02	SCHLOMANN, TRISTAN	207,406
							1000653128-02	SCHLOMANN, TRISTAN	55,094
	AON RISK SERVICES, CHICAGO, IL	THE MOSAIC COMPANY (SUR-61067191) PLYMOUTH, MN	Surety	Commercial	Surety > Surety (SURETY)	Null	Null	SCHOON, MICHAEL	143,354
	WILLIS BERMUDA LIMITED, PEMBROKE, ?	THE MOSAIC COMPANY (THEM3695) TAMPA, FL	Specialty	Bermuda Casualty	Bermuda Agency > Excess Casualty (IS GLXS)	October 22, 2025	LSMAEC150179A05	THORNE, BARBARA-A..	100,790
	WILLIS TOWERS WATSON MIDWEST, INC, BLOOMING..	THE MOSAIC COMPANY (THEM2512) PLYMOUTH, MN	Major Accounts	Ocean Marine	Marine Liabilities > Primary Liability (MARINE)	October 22, 2025	NYAB3R9D005	DEVINE, WILLIAM	11,021

Russia/Ukraine exposure: I could not find anything minus the litigation below, but will confirm with Aon. We do have other lines with Mosaic so I would assume we have compliance approval. Mosaic is directly involved with U.S. countervailing duty (CVD) orders on imports of phosphate fertilizers from Morocco and Russia. These CVD orders were issued by the U.S. Department of Commerce (DOC) in April 2021 in response to petitions filed by Mosaic, with the stated purpose to "remedy the injury to the U.S. phosphate fertilizer industry caused by imports that benefit from unfair foreign subsidies, and thereby restore fair competition" CVD orders typically remain in place for at least five years, with possible extensions. There are ongoing legal challenges by Moroccan and Russian producers, as well as by Mosaic, regarding the DOC's determinations and the extent of subsidies captured. These cases are under review by the U.S. Court of International Trade (CIT) and the U.S. Court of Appeals for the Federal Circuit (CAFC), and the litigation process is ongoing. The DOC conducts annual administrative reviews to set CVD assessment rates for past imports and cash deposit rates for future imports. Final results for the first and second administrative reviews (covering 2020–2022) set subsidy rates for Moroccan producer OCP at 2.11% (first review, after remand) and 16.60% (second review), and for Russian producer PhosAgro at 28.50% (first review) and 18.21% (second review). Both Mosaic and parties opposing the duties have appealed these results to the CIT. As of the report date, the DOC is conducting a third administrative review for imports from Russia covering calendar year 2023, but not for Morocco. The applicable final CVD assessment and cash deposit rates for imports from these countries could change depending on the outcomes of these proceedings and potential appeals, including at the WTO. Mosaic does not provide a specific quantitative assessment of the financial impact of these tariffs within this report, but the proceedings and their potential effect on competitive dynamics are highlighted as material legal and regulatory matters. Recent earnings call commentary: "But in general, imports of phosphate have a 10% tariff on top of those, depending on the location, but most locations have that. There's nothing on Russia as of today, but the threat that outside of the CBD -- their CBD duties. But as far as tariffs go, you've seen in the press as we all have, that there is a threat of the Russia-Ukraine ceasefire doesn't happen, then maybe we would put more tariffs on Russia. But as of today, there's none."

Overview

The Mosaic Company, through its subsidiaries, produces and markets concentrated phosphate and potash crop nutrients. It operates in three segments: Phosphates, Potash, and Mosaic Fertilizantes. The company owns and operates mines and production facilities, which produce concentrated phosphate crop nutrients, such as diammonium phosphate, monoammonium phosphate, and MicroEssentials ammoniated phosphate products; and phosphate based animal feed ingredients under the Biofos and Nexfos brands, as well as produces a double sulfate of potash magnesia product under the K-Mag brand. It also produces and sells potash for use in the manufacturing of mixed crop nutrients and animal feed ingredients, and for industrial use; and for use in the deicing and as a water softener regenerant. In addition, the company provides blended crop nutrients for agricultural use; triple superphosphate, single superphosphate, and dicalcium phosphate; and biological fertilizer complements, industrial products, and other ancillary services. Further, it owns and operates chemical plants, crop nutrient blending and bagging facilities, port terminals, and warehouses; distributes nitrogen based crop nutrients and phosphogypsum; and purchases and sells phosphates, potash, and nitrogen products. The company sells its products to distributors, retail chains, cooperatives, independent retailers and dealers, industrial accounts, animal feed industry, wholesalers, farmers,

crop nutrient manufacturers, and national accounts through its sales force. It also exports its products. The company operates in the United States, Brazil, China, Canada, Paraguay, Argentina, Japan, Colombia, India, Australia, Peru, Mexico, Honduras, the Dominican Republic, Thailand, Indonesia, and internationally. The Mosaic Company was incorporated in 1987 and is headquartered in Tampa, Florida.

I did find the following with coal, but does not appear to be material since we write other LOBs with Mosaic: "**We also own or lease 206,228 acres of freehold mineral rights within the Esterhazy area as shown in Table 2.24 below. All mineral titles owned or leased by Mosaic include the "subsurface mineral" which under The Subsurface Mineral Tenure Regulations (Saskatchewan) means all natural mineral salts of boron, calcium, lithium, magnesium, potassium, sodium, bromine, chlorine, fluorine, iodine, nitrogen, phosphorus and sulfur, and their compounds, occurring more than 60m below the surface of the land. Other commodities (e.g., petroleum and natural gas, coal, etc.) that are not specifically sought after when acquired may be on mineral titles that Mosaic leases or owns.**"

Positive Aspects

- **Significant Improvement in Profitability:** Mosaic reported a strong turnaround, with net income of $410.7 million for Q2 2025 (vs. a net loss of $161.5 million in Q2 2024) and $648.8 million for H1 2025 (vs. a net loss of $116.3 million in H1 2024). Diluted EPS also improved substantially.
- **Gross Margin Expansion:** Gross margin increased by 32% in Q2 and 27% in H1, driven by higher average selling prices across all segments and cost efficiencies, especially in Mosaic Fertilizantes.
- **Foreign Currency and Investment Gains:** Favorable foreign currency transaction gains ($169.4 million in Q2, $302.5 million in H1) and unrealized mark-to-market gains on Ma'aden shares ($216 million in Q2, $99 million in H1) boosted net income.
- **Segment Performance:** Potash and Mosaic Fertilizantes segments showed strong operating earnings growth, supported by higher selling prices, production efficiency gains, and increased sales volumes.
- **Strategic Expansion:** Opening of the Palmeirante blending facility in Brazil positions Mosaic for future growth in a key market.
- **Liquidity and Financial Strength:** Mosaic maintains robust liquidity ($286.2 million cash, $2.5 billion available credit), investment-grade metrics, and continues to pay dividends and invest in capital expenditures.

Challenges

- **Phosphate Segment Weakness:** Operating loss in Phosphate segment due to higher water treatment costs, increased asset retirement obligations, and higher raw material costs (notably sulfur and ammonia), despite improved pricing.
- **Rising Costs:** Increased selling, general, and administrative expenses (notably bad debt reserves and incentive compensation), higher conversion and maintenance costs, and elevated input prices across segments.
- **Production and Volume Declines:** Lower production volumes and sales in Phosphate and Potash segments due to planned maintenance downtime and higher costs, impacting operating rates and gross margins.
- **Inventory Build-Up:** Higher inventories, especially in Brazil, due to seasonality and increased raw material prices, affecting cash flow from operations.
- **Exposure to External Risks:** The company faces risks from global supply chain challenges, regulatory changes, environmental obligations, and geopolitical instability, particularly in Brazil and other international markets.

Strategic Considerations

- **Pricing Power and Market Dynamics:** Mosaic's ability to capitalize on tight global supply and strong demand has supported higher selling prices, but ongoing volatility in raw material costs and market conditions requires agile pricing and sourcing strategies.
- **Operational Efficiency:** Continued focus on production efficiency, cost management, and asset reliability is critical, especially in segments facing margin pressure.
- **Growth Initiatives:** Investments in new facilities (e.g., Palmeirante in Brazil) and strategic asset swaps (e.g., Ma'aden shares) are aligned with growth and diversification objectives.
- **Capital Allocation:** Mosaic prioritizes maintaining investment-grade credit metrics, funding organic and strategic growth, and returning capital to shareholders, balancing liquidity needs with shareholder returns.
- **Risk Management:** Proactive management of environmental, regulatory, and financial risks—including compliance with financial assurance requirements and critical accounting estimates—is essential for long-term stability.
- **Tax and Regulatory Environment:** Recent U.S. tax law changes (OBBBA) may impact future financials; ongoing evaluation and adaptation to regulatory changes are necessary.

Overall, Mosaic's financial performance in the first half of 2025 reflects a strong recovery and positive momentum, driven by favorable market conditions, strategic investments, and operational improvements. While challenges persist—particularly in the Phosphate segment and from rising costs—the company's liquidity, pricing power, and growth initiatives provide a solid foundation for future resilience. Management's outlook is cautiously optimistic, acknowledging external risks and uncertainties but emphasizing Mosaic's ability to navigate market dynamics and pursue strategic opportunities.

Tariff Commentary

In February 2025, the U.S. imposed a 25% tariff on most imports from Canada, including potash crop nutrients. Although the implementation of these tariffs has been temporarily paused for 30 days, there is a risk that they may be reinstated and sustained for an extended period. If these tariffs are reintroduced, they could significantly increase the cost of importing potash from Canada. Higher potash prices may lead to reduced usage by U.S. farmers and negatively impact demand. Additionally, retaliatory tariffs imposed by Canada on U.S. exports, could further exacerbate these challenges. The prolonged imposition of these tariffs could have a material adverse effect on our business, financial condition, and results of operations.

Potash markets are improving in the near to medium term driven by output reductions from key producers in Russia, Belarus and China, as well as headwinds to the planned expansions in Laos. The potential impact of tariffs that may be imposed on Canadian potash exports to the U.S. are uncertain, but it is clear that the tariffs, if levied as originally proposed, would cause significant disruptions in global potash trade flows and logistics. It is expected that tariffs would exert further upward pressure on prices, and that U.S. farmers would bear the cost increase. Even so we anticipate that potash would remain affordable, and demand would remain robust, in North America and globally.

Mosaic said that President Donald Trump's tariffs are hurting shipments of crop nutrients coming into the U.S. The company said that phosphate imports in North America are "tracking well below last year" as tariffs are applied to most exporting markets. It also noted that other parts of the world are absorbing the production from non-U.S. producers. This comes at a time when North American phosphate inventories were running low after a strong drawdown in spring, it said. The prices of the fertilizer also ticked up this year, amid a 50% decline in exports from top producer China in the first half. Mosaic also noted that global trade uncertainty and anticipation of large harvests have pressured the corn and soybean markets; however, grower economics "remain constructive" across much of the world. The company also posted second-quarter adjusted earnings of $0.51 per share, which fell short of Wall Street's expectations of $0.71 per share, according to Fiscal.ai data. Its net sales of $3 billion

also came in below estimates of $3.12 billion. Still the company remains optimistic as “any demand deferral or reduction exiting 2025 sets the stage for strong demand in 2026, as nutrients removed from this year’s crops need to be replenished.”

Stock Performance
Current Price: $34.85
Market Cap: $11.03B
Beta: 0.92
P/E Ratio:
% of float shorted: 4.27%

- 1 Year:

- 2 Years:

- 5 Years:

Over the past 1 year, Mosaic stock is up over 29% and YTD it is up over 41%. Here are some notable stock drops over the past year:

- 2024-12-13 - 2024-12-20 The stock price dropped by 11%. No potential causes have been identified. The benchmark index Vanguard World Fund - Vanguard Materials ETF (VAW) dropped by 6%. This stock price drop was tied to the benchmark index.
- 2025-04-01 - 2025-04-08 The stock price dropped by 15%. The stock price drop was likely caused by the significant decline in financial performance, as shown by 2024 net income falling to $174.9 million from $1,164.9 million in 2023 and diluted net earnings per share dropping to $0.55 from $3.50. Additionally, executive incentive payouts were reduced to 53.5%-55.5% of target due to below-target operating earnings, below-threshold free cash flow, and safety incidents resulting in fatalities. The benchmark index Vanguard World Fund - Vanguard Materials ETF (VAW) dropped by 14%. This stock price drop was tied to the benchmark index.
- 2025-07-30 - 2025-08-06 The stock price dropped by 15%. The press release indicates that Mosaic's equity in net earnings of nonconsolidated companies fell sharply, dropping 94% for the quarter and 97% for the six-month period compared to the prior year, which signals significant weakness in joint ventures or investments. Additionally, selling, general, and administrative expenses increased by 30% for the quarter and 23% for the six months, potentially raising concerns about cost management and future profitability. The benchmark index Vanguard Materials ETF (VAW) didn't drop in this period. This stock price drop was not tied to the benchmark index.

Mosaic Dividend Summary

DIVIDEND YIELD	ANNUAL DIVIDEND	RECENT DIVIDEND PAYMENT
2.54%	$0.88	SEP. 18

DIVIDEND INCREASE TRACK RECORD	DIVIDEND PAYOUT RATIO
7 Years	29.83%

In 2022, their Board of Directors approved two share repurchase programs for a total of $3.0 billion. Mosaic's repurchase programs allow the Company to repurchase shares of our Common Stock through open market purchases, accelerated share repurchase arrangements, privately negotiated transactions or otherwise, and have no set expiration date. During the three and six months ended June 30, 2025, they made no share repurchases. During the three and six months ended June 30, 2024, they repurchased 1,835,788 and 5,234,488 shares of Common Stock in the open market for approximately $52.0 million and $160.4 million, respectively, at an average purchase price per share of $28.33 and $30.64, respectively. The stock remains a Hold amongst most analysts with some Buy ratings.

Financial Performance

	YR Ending (Prior Year)	YR Ending (Most Recent)	% Change	Most Recent Qtr
	12/31/2023	12/31/2024		6/30/2025
Balance Sheet				
Cash/ST Investments (includes marketable securities)	$349	$273	-22%	$286
Current Assets	$4,745	$4,498	-5%	$5,018
Total Assets	$23,033	$22,924	0%	$24,305
Current Liabilities	$3,874	$4,171	8%	$4,417
Long Term Debt	$3,164	$3,218	2%	$3,331
Working Capital	$871	$327	-62%	$601
Income Statement				
Revenues	$13,696	$11,123	-19%	$3,006
Operating Income	$1,281	$622	-51%	$288
Net Income	$1,165	$175	-85%	$411
Gross Margins (%)	$16	$14	-16%	$17
Cash Flow Statement				
Operating Cash Flow	$2,407	$1,299	-46%	$610

FY 2024 Results

The Mosaic Company reported net income of $175 million and diluted earnings per share (EPS) of $0.55 for full year 2024. Adjusted EBITDA(1) for the year was $2.2 billion and adjusted diluted EPS(1) was $1.98. The company reported fourth quarter net income of $169 million and diluted EPS of $0.53. Adjusted EBITDA(1) totaled $594 million for the quarter and adjusted diluted EPS(1) was $0.45. They delivered their highest quarterly EBITDA of the year (Q4) with great prospects for all three segments for 2025. Despite a series of operational and weather-related issues, which reduced their phosphate production by over 700,000 tonnes and potash production by about 250,000 tonnes in 2024, Mosaic saw encouraging signs that they will deliver significant volume recovery in phosphates and potash in 2025 as they progress on projects to restore reliability. Mosaic also made significant progress on our cost performance in the Mosaic Fertilizantes business, leading to the prospect of increased margins in 2025. With the conclusion of the Ma'aden deal and the signing of the Patos de Minas sale, they continue to execute their strategy to redeploy capital from non-core assets to their highest returning areas. As a result, Mosaic is well positioned to benefit from improving market conditions in 2025.

Full year revenues declined 19 percent year-over-year to $11.1 billion, reflecting the impact of lower selling prices in the Potash and Mosaic Fertilizantes segments. The gross margin rate in 2024 was 14 percent, down from 16 percent in 2023. Net Income in 2024 totaled $175 million, declining 85 percent from 2023. 2024 results reflected the negative after-tax impact of notable items totaling $459 million, mainly from a foreign currency transaction loss, partially offset by a gain on sale associated with the Ma'aden transaction. For other notable items, refer to the "Notable Items" table in the appendix. The notable foreign exchange loss for the year of $642 million was driven mainly by unrealized losses on intercompany loans between the US and Canada and between the US and Brazil, particularly in the fourth quarter when the Brazilian real and the Canadian dollar declined by 14% and 6%, respectively versus the prior quarter. Adjusted EBITDA(1) in 2024 totaled $2.2 billion, a decline of 20 percent from 2023. Cash flows from operating activities totaled $1.3 billion. In 2024, the company realized approximately half of its $150 million cost saving target and is on track to achieve the full run rate by the end of 2025. $35 million of the cost reductions realized in 2024 is captured in the Mosaic Fertilizantes segment and $42 million is captured in SG&A. Full-year selling, general and administrative expenses were $497 million in 2024 compared with $501 million in 2023. SG&A expenses in 2024 include approximately $30 million in bad debt expenses related to a single customer booked in the third quarter and an increase in non-cash costs of $8 million. Most of the bad debt expense is expected to be recovered through an insurance claim.

Mosaic recognized $73 million of equity earnings from investments, primarily reflecting contributions from the company's share of the MWSPC joint venture in Saudi Arabia prior to the conversion of this investment into shares of Ma'aden. The Potash segment reported net sales of $2.4 billion in 2024, down from $3.2 billion in 2023, reflecting lower prices and slightly lower sales volumes. Adjusted EBITDA per tonne(1) was $108, down from $166 last year. Sales volumes decreased from 8.9 million tonnes in 2023 to 8.7 million tonnes in 2024, reflecting the production challenges at the Esterhazy and Colonsay mines in the third quarter of 2024. Potash operating earnings were $605 million in 2024, down from $1.2 billion in the prior year. Adjusted EBITDA(1) totaled $944 million in 2024, down from $1.5 billion last year. Adjusted EBITDA(1) totaled $212 million in the fourth quarter 2024, down from $322 million in the same period last year. These results reflect lower selling prices. The electrical issues at Esterhazy and Colonsay that reduced 2024 production levels were largely resolved in the third quarter of 2024. Hoisting at Esterhazy is back to full capacity now. This significantly improves our asset reliability going forward and will continue to provide us with excess hoisting capacity as well as higher production output as the Hydrofloat project completes in 2025. Potash production volumes in 2025 are expected to be in the range of 8.7-9.1 million tonnes.

Net sales in the Phosphate segment decreased to $4.5 billion in 2024, from $4.7 billion in 2023, driven by lower sales volume, partially offset by higher prices. Phosphate operating earnings were $225 million in 2024, compared to $375 million in 2023. Segment results reflect higher prices, elevated stripping margins, and lower sales and production volumes. Adjusted EBITDA(1) totaled $1.19 billion in 2024, down slightly from $1.23 billion in the prior year. Adjusted EBITDA(1) totaled $341 million in the fourth quarter of 2024, up from $259 million in the same period last year; higher full year prices and elevated stripping margins, offset lower sales and production volumes as conversion costs per tonne stayed flat versus prior year. Sales volumes decreased from 7.0 million tonnes in 2023 to 6.4 million tonnes in 2024 while production volumes declined from 6.6 million tonnes to 6.4 million tonnes due to approximately 700 thousand tonnes of production lost due to hurricanes and other unusual events. Adjusted EBITDA per tonne(1) was $185 in 2024, compared to $176 in 2023. After the conclusion of a turnaround at the Bartow facility in the first quarter of 2025, all sulfuric acid plants across Florida and Louisiana will be within the normal cadence with an average of 3-year interval between turnarounds. Mosaic has additional plans in 2025 to further strengthen its asset reliability and this work is expected to be completed by the end of the second quarter. 2025 production volumes are expected to improve throughout the year and revert towards a level of 7.2-7.6 million tonnes.

Sales volumes in the first quarter are expected to be 1.5-1.7 million tonnes with DAP prices on an FOB basis averaging $595 to $615 per tonne. Stripping margins are expected to remain elevated. Mosaic Fertilizantes reported net sales of $4.4 billion in 2024, down from $5.7 billion in the prior year, reflecting lower prices and sales volumes. The gross adjusted EBITDA per tonne tonne(1) averaged $38 in 2024, up from $34 in 2023. Mosaic Fertilizantes operating earnings were $238 million in 2024, increasing from $75 million in 2023. Adjusted EBITDA(1) totaled $344 million in 2024, up from $327 million last year. Adjusted EBITDA(1) totaled $82 million in fourth quarter 2024, down from $111 million in the same period last year. Segment Adjusted EBITDA(1) in the fourth quarter reflects strong underlying operating and cost performance. For example, since early 2024, Mosaic ceased to import phosphate rock and increased its own rock production to be processed in the production facilities in Brazil. This will have reduce production costs by $35 to $40 million a year, with $15 million already realized in 2024. The expected annual cost benefit run rate

translates into gross margin of approximately $2 per tonne. However, these cost improvements were partially offset by a negative $35 million foreign exchange impact in adjusted EBITDA, $28 million of which was related to unfavorable structured payables, with an additional $7 million unfavorable from hedging impacts. Mosaic Fertilizantes has accounts payable denominated in U.S. dollars. These USD-denominated payables were initially recorded in BRL using prior lower exchange rates, and were settled in the fourth quarter at higher exchange rates, after a 14% weakening of the BRL. This resulted in a $28 million negative impact to adjusted EBITDA. In the first quarter of 2025, $15-$20 million EBITDA impact is expected on the remaining open payables recorded at lower exchange rates. Distribution margin is expected to be seasonally normal and below the annual normalized $30-$40 per tonne range in the first quarter of 2025. The currency impact and lower distribution margins will likely result in segment gross margins between $35-45 per tonne in the first quarter. Assuming the USD/BRL exchange rate stays at a level of 5.5-6.0 in 2025, EBITDA beyond the first quarter will not be significantly impacted by this type of foreign exchange impact.

Mosaic has made significant progress on divesting non-core assets and investments:

- In December, Mosaic closed the Ma'aden transaction and received approximately $1.5 billion in Ma'aden common shares in exchange for Mosaic's 25% share of the Wa'ad Al Shamal Phosphate Company. Mosaic recorded a gain of $522 million from this transaction in the fourth quarter of 2024.
- In January of 2025, Mosaic signed an agreement to sell the idled phosphate mine Patos de Minas in Brazil for $125 million. The transaction is expected to be close in 2025. Mosaic will receive $35 million upon closing and the remainder of the price through six annual payments of $15 million.
- Mosaic continues to progress on high-returning and low-capital intensity projects
- The Riverview capacity conversion project which added 800 thousand tonnes of MicroEssentials capacity is complete. MicroEssentials volumes are expected to grow 25% in 2025, ramping in 2026 to a goal of about 55% of total phosphates volumes in 2027. In 2024, MicroEssentials products were sold at an average gross margin premium of $30-$40 over the gross margin of MAP.
- The Esterhazy Hydrofloat project is on track to complete by mid-year 2025, with an expected ramp-up by end of 2025. Once fully ramped up, the Hydrofloat project will enable additional production of 400 thousand tonnes of MOP from Esterhazy.
- The construction of a one million tonne blending facility in Palmeirante, Brazil is on track to be completed by mid-2025. Palmeirante will enable Mosaic Fertilizantes to increase overall sales by the same one million tonnes, with intended distribution margins approaching the average for Fertilizantes of $30-40 per tonne.
- 2024 capital expenditures of $1.25 billion are within the targeted range and were about $200 million lower than in 2023. 2025 capital expenditures are expected to be in the range of $1.2 to $1.3 billion.
- Mosaic returned $506 million of capital to shareholders in 2024 including share repurchases totaling $235 million.

2025 Market Outlook

Grain and oilseed fundamentals have improved over the past few months, as evidenced by rising corn prices in particular, while most other crops prices remain elevated. This continues to incentivize farmers to apply fertilizers to maximize yields. Demographic changes and government mandates for biofuel usage are expected to provide a long runway for grain and oilseed demand expansion, driving steady growth in fertilizer shipments in 2025 as well as longer term. Phosphate markets are expected to remain tight driven by continued supply constraints and increasing demand for fertilizer, fuel, and industrial uses. Chinese phosphate exports in 2024 declined 8 percent or over 600,000 tonnes from the prior year, and the long-term outlook remains favorable as Chinese domestic use and industrial needs will continue to be prioritized over fertilizer exports.

The potential resolution of the Russia / Ukraine conflict will likely have minimal impact to the potash and phosphate markets and Mosaic as Russian exports have already returned to pre-war levels. Also, Belarussian exports have already returned to 90% of pre-sanction levels, and it is not clear that a resolution would open up the most critical transit corridor necessary to bring about a full production resumption. With these market dynamics, the prospects of potash are compelling in 2025 and beyond.

Q2 2025 Results

- Mosaic reported net sales of $3,005.7 million for the three months ended June 30, 2025, a 7% increase from $2,816.6 million in the prior year period. For the six months ended June 30, 2025, net sales were $5,626.6 million, up 2% from the previous year's $5,496.0 million
- Net earnings attributable to Mosaic were $410.7 million for the quarter (compared to a $161.5 million loss in the prior year), and $648.8 million for the six months (compared to a $116.3 million loss)
- Diluted earnings per share were $1.29 for the quarter and $2.04 for the six months, compared to $(0.50) and $(0.36) in the prior periods

Profitability Metrics

- Gross margin increased 32% to $518.6 million for the quarter and 27% to $1,007.0 million for the six months. Gross margin percentages improved to 17% (from 14%) for the quarter and 18% (from 14%) for the six months
- Operating earnings for the quarter were $244.4 million (up 5%) and $582.9 million (up 44%) for the six months
- Key profitability was favorably impacted by higher average selling prices across all segments, and strong market dynamics, especially in Mosaic Fertilizantes

Segment Performance

- **Phosphate Segment:** Reported an operating loss of $(7.9) million for the quarter (down from $132.9 million profit prior year), with gross margin declining to $103.0 million (from $153.7 million). The decline was primarily due to increased provisions for water treatment and asset retirement obligations, higher raw material costs (notably sulfur and ammonia), and lower production volumes
- **Potash Segment:** Operating earnings rose to $194.1 million (up from $174.4 million), with gross margin up 12%. Gains were driven by higher average selling prices and strong international demand, partially offset by higher conversion and maintenance costs
- **Mosaic Fertilizantes Segment:** Operating earnings increased to $109.0 million (from $61.2 million), gross margin rose 59%. This was due to higher selling prices, production efficiency gains, and increased sales volumes

Cash Flow and Liquidity

- Net cash provided by operating activities for the six months ended June 30, 2025 was $652.4 million, a decrease of 15% from $767.0 million in the prior year, mainly due to higher inventories and raw material costs
- Net cash used in investing activities was $659.3 million (down from $736.8 million), primarily related to capital expenditures of $645.4 million
- Net cash used in financing activities was $13.2 million (vs. $30.7 million prior year), with dividends paid of $141.0 million and debt repayments
- As of June 30, 2025, Mosaic's cash and cash equivalents stood at $286.2 million, short-term debt at $1,041.5 million, long-term debt (including current maturities) at $3,369.7 million, and stockholders' equity at $12,584.6 million

Balance Sheet Highlights

- Total assets as of June 30, 2025 were $24,304.8 million, up from $22,924.0 million at the end of 2024
- Inventory increased to $3,067.3 million (from $2,548.4 million), reflecting seasonality and higher raw material prices
- Mosaic maintains access to a $2.5 billion committed revolving credit facility, with $2.5 billion available as of June 30, 2025

2025 Guidance Summary

Phosphate Production Volumes (million tonnes)	
Potash Production Volumes (million tonnes)	
Mosaic Fertilizantes Sales Volumes (million tonnes)	
Total Capital Expenditures	
Depreciation, Depletion & Amortization	
Selling, General, and Administrative Expense	
Net Interest Expense	
Effective tax rate	
Cash tax rate	

Phosphate Sales Volumes (million tonnes)	
DAP FOB Plant Prices	
Potash Sales Volumes (million tonnes)	
MOP FOB Mine Prices	

M&A Activity

In January 2025, The Mosaic Company announced that it has completed the transaction with Saudi Arabian Mining Company (Ma'aden) to sell the interest it holds in Ma'aden Wa'ad Al Shamal Phosphate Company (MWSPC) and establish the company as a shareholder in Ma'aden. In this transaction, which closed on December 24, 2024, Mosaic received 111,012,433 shares of Ma'aden -valued at approximately $1.5 billion on the closing date - in exchange for Mosaic's 25 percent stake in MWSPC, previously a joint venture among Mosaic, Ma'aden and Saudi Basic Industries Corporation. Mosaic expects to record a pre-tax gain of approximately $0.5 billion in the fourth quarter 2024 based on the share price at closing.

In January 2025, The Mosaic Company (NYSE:MOS) and Fosfatados Centro SPE Ltda ('Fosfatados Centro') announced that they have entered into an agreement for the sale of a phosphate asset owned by Mosaic located in Patos de Minas, Brazil. Upon the closing of the transaction, Fosfatados Centro will assume responsibility for the Patos de Minas mine and tailings dams and pay Mosaic $125 million (USD) in cash over six years. The transaction is subject to regulatory approvals, including approval by the Brazilian Administrative Council for Economic Defense (CADE), and other conditions precedents. "This transaction aligns with Mosaic's strategy to scrutinize and monetize non-core assets and redeploy capital to high-returning areas, and we believe the full value of the Patos asset will be realized in the capable hands of Fosfatados Centro. We are grateful to our employees who have been dedicated to the continued maintenance of the asset", says Karen Swager, Mosaic's Executive Vice President, Operations. "This agreement represents an important step for the phosphate supply to the Brazilian fertilizer market and demonstrates our commitment to advancing the National Fertilizer Plan. We are confident that we will operate the Patos de Minas complex with great efficiency after the completion of the contract," says Rodolfo Galvani Júnior, owner of Fosfatados Centro.

Litigation

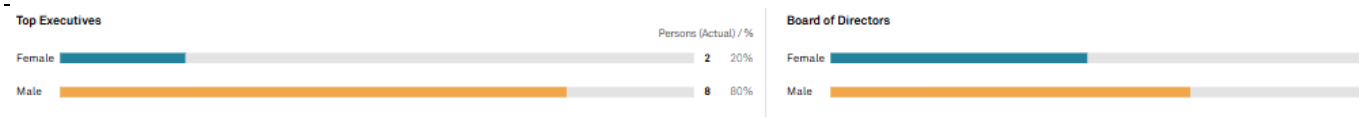
I could not find anything on the SCAC website. Per their recent 10-Q filing:

- *Countervailing Duty Orders*. In April 2021, the U.S. Department of Commerce ("*DOC*") issued countervailing duty ("*CVD*") orders on imports of phosphate fertilizers from Morocco and Russia, in response to petitions filed by Mosaic. The purpose of the CVD order is to remedy the injury to the U.S. phosphate fertilizer industry caused by imports that benefit from unfair foreign subsidies, and thereby restore fair competition. CVD orders normally stay in place for at least five years, with possible extensions. Moroccan and Russian producers have initiated actions at the U.S. Court of International Trade ("*CIT*") and the U.S. Court of Appeals for the Federal Circuit ("*CAFC*") seeking to overturn the orders. Mosaic has also made claims contesting certain aspects of DOC's final determinations that, we believe, failed to capture the full extent of Moroccan and Russian subsidies. These litigation challenges remain underway. The CAFC is reviewing a challenge to DOC's final determination in the CVD investigation for Russia; the CIT is reviewing the DOC's second remand redetermination for the CVD investigation for Morocco and first remand redetermination for the first administrative review for Morocco; and the ITC recently reaffirmed its original affirmative injury finding in a second remand redetermination, which will also be reviewed by the CIT. When a CVD order is in place, DOC normally conducts annual administrative reviews, which establish a final CVD assessment rate for past imports during a defined period, and a CVD cash deposit rate for future imports. In November 2023, DOC announced the final results of the first administrative reviews for the CVD orders on phosphate fertilizers for Russia and Morocco covering the period November 30, 2020 to December 31, 2021. DOC calculated new subsidy rates of 2.12% for Moroccan producer OCP (lowered to 2.11% on remand) and 28.50% for Russian producer PhosAgro. In addition, in November and December 2024 DOC announced the final results of the second administrative reviews for the CVD orders on phosphate fertilizers for Russia and Morocco covering calendar year 2022. DOC calculated subsidy rates of 16.60% for OCP and 18.21% for PhosAgro. Mosaic, as well as parties that oppose the duties, have appealed the final results of DOC's first and second administrative reviews to the CIT. Currently, DOC is conducting a third administrative review for imports from Russia, covering calendar year 2023. DOC is not conducting an administrative review for Morocco for this period. The applicable final CVD assessment rates and cash deposit rates for imports of phosphate fertilizer from Morocco and Russia could change as a result of these various proceedings and potential associated appeals, whether in federal courts or at the World Trade Organization.
- *The South Pasture Mine – Hardee County Enforcement Action*. On January 8, 2020, Hardee County issued a Notice of Violation ("*NOV*") for Mosaic's delay in meeting the required reclamation schedule for two designated reclamation units within the South Pasture mine. The delay resulted from idling the South Pasture beneficiation plant in 2018; because the plant was idled, no sand was available for reclamation activities. Acting on Mosaic's "Application for Waiver and Reclamation Schedule Extension," in May 2020, the Hardee County Board of County Commissioners approved: (1) a waiver of the applicable reclamation deadlines of the South Pasture Development Order and Land Development Code; (2) an alternative reclamation schedule; and (3) a settlement agreement that resolved the NOV. Mosaic timely paid the civil penalty required by the settlement agreement and continues to implement the approved alternative reclamation schedule, as required. Monitoring programs are in place to ensure continued compliance with the waiver and settlement agreement.
- *Cruz Litigation*. On August 27, 2020, a putative class action complaint was filed in the Circuit Court of the Thirteenth Judicial Circuit in Hillsborough County, Florida against our wholly-owned subsidiary, Mosaic Global Operations Inc., and two unrelated co-defendants. The complaint alleges claims related to elevated levels of radiation at two manufactured housing communities located on reclaimed mining land in Mulberry, Polk County, Florida, allegedly due to phosphate mining and reclamation activities occurring decades ago. Plaintiffs seek monetary damages, including punitive damages, injunctive relief requiring remediation of their properties, and a medical monitoring program funded by the defendants. On October 14, 2021, the court substantially granted a motion to dismiss that we filed late in 2020, with leave for the plaintiffs to amend their complaint. On November 3, 2021, plaintiffs filed an amended complaint and, in response, Mosaic filed a motion to dismiss that complaint with prejudice on November 15, 2021. On December 23, 2021, plaintiffs opposed that motion and Mosaic replied to that opposition on January 26, 2022. On April 6, 2022, the court heard argument on the motions to dismiss filed by Mosaic and each other co-defendant. In late March

2023, the court denied defendants' motions to dismiss. We intend to continue to vigorously defend this matter.

- *Faustina Plant Risk Management Plan*. On September 14, 2022, EPA Region 6 issued a Notice of Potential Violation and Opportunity to Confer ("*NOPVOC*") regarding compliance of our Faustina Plant with Section 112(r) of the Federal Clean Air Act and 40 C.F.R. Part 68, commonly known as the Risk Management Plan Rule ("*RMP Rule*"). The NOPVOC relates to a compliance evaluation inspection conducted by the EPA at the Faustina Plant from February 22-25, 2022, and alleges violations of the RMP Rule. We conferred with the EPA regarding the allegations in the NOPVOC on November 30, 2022. We negotiated a Consent Agreement and Final Order ("*CAFO*") with the agency that was filed on January 30, 2024. As required by the CAFO, we paid a penalty in the amount of $217,085. The CAFO also requires the completion of two supplemental environmental projects: (1) installation of ammonia monitors and monitoring at the plant for a period of two years, and (2) donation of two generators to the St. James Parish Department of Emergency Preparedness. We completed the donation to the St. James Parish Department of Emergency Preparedness on March 14, 2024, and we completed installation and began operation of the ammonia monitors on April 24, 2024.

Management Team/BOD



Name	Title	Status	Age	Gender	Office	Phone	Email	Biography
Bruce M. Bodine Jr.	CEO, President & Director	Current	53	Male	NA	NA	bruce.bodine@mosaicco.com *	Mr. Bruce M. Bodine, Jr. serves as President & Director at The Mosai as its Chief Executive Officer since January 01, 2024. He had been S Mosaic Company since April...View All
Luciano Siani Pires	Executive VP & CFO	Current	55	Male	NA	+55 21 3485 5000	NA	Mr. Luciano Siani Pires is Executive Vice President of The Mosaic Co serves as Chief Financial Officer from January 1, 2025. Mr. Pires has Strategy and Business Transformation...View All
Karen A. Swager	Executive Vice President of Operations	Current	54	Female	NA	NA	karen.swager@mosaicco.com *	Ms. Karen A. Swager serves as Independent Director at SSR Mining Executive Vice President of Operations at The Mosaic Company fro Senior Vice President of Supply Chain...View All
Russell A. Flugel	VP, Controller, Chief Accounting Officer & Principal Accounting Officer	Current	55	Male	NA	NA	russell.flugel@mosaicco.com *	Mr. Russell A. Flugel, also known as Russ, has been VP & Controller and has been its Principal Accounting Officer since September 1, 2 The Mosaic Company. He had...View All
Walter F. Precourt III	Senior VP & Chief Administrative Officer	Current	60	Male	NA	NA	walter.precourt@mosaicco.com *	Mr. Walter F. Precourt, III, also known as Walt, is Senior Vice Preside Company since November 01, 2023 and served as its Senior Vice Pr January 1, 2019 until November...View All
Philip Eugene Bauer	Senior VP, General Counsel & Corporate Secretary	Current	52	Male	NA	NA	NA	Mr. Philip E. Bauer also known as Phil, serves as Senior Vice Preside Secretary of The Mosaic Company since January 3, 2023. He joined corporate practice group of Dorsey &...View All
Benjamin James Pratt	Senior Vice President of Government & Public Affairs	Current	58	Male	NA	(813) 775-4206	benjamin.pratt@mosaicco.com	Mr. Benjamin James Pratt, also known as Ben, has been Senior Vice at The Mosaic Company since April 01, 2020 and served as its Vice P August 2014 until April 01,...View All
Christopher Anthony Lewis	Senior Vice President of Human Resources	Current	62	Male	NA	NA	NA	Mr. Christopher Anthony Lewis, also known as Chris, serves as Seni Mosaic Company since June 19, 2019. Mr. Lewis served as the Chief at DCP Midstream, LLC from 2010...View All
Paul Abdelmassieh Massoud	Vice President of Investor Relations	Current	NA	Male	NA	(813) 775-4260	paul.massoud@mosaicco.com *	Mr. Paul Abdelmassieh Massoud, CFA, serves as Vice President of I was a Vice President at Stifel, Nicolaus & Company, Incorporated, R covered the agricultural...View All
Yijun "Jenny" Wang	Executive Vice President of Commercial	Current	57	Female	NA	NA	NA	Ms. Yijun Wang, also known as Jenny, serves as Executive Vice Presi from January 2024 and served as its Senior Vice President of Globa until January 2024 and served as...View All
Average			57					

*On November 8, 2024, Mr. Clint C. Freeland informed The Mosaic Company of his intention to retire from Mosaic in 2025. In connection with his retirement, Mr. Freeland will resign as the Executive Vice President and Chief Financial Officer effective December 31, 2024, and will continue as a Senior Advisor to Mosaic until his retirement on July 1, 2025. Mr. Freeland will continue to receive his current cash compensation and be eligible to participate in benefit plans generally available to management-level employees after his transition to Senior Advisor through his remaining period of employment with Mosaic.

On November 12, 2024, Mosaic announced that effective November 18, 2024, its Board of Directors appointed Mr. Luciano Siani Pires to the position of Executive Vice President and Chief Financial Officer - Designate. Following Mr. Freeland's resignation due to retirement as Executive Vice President and Chief Financial Officer on December 31, 2024, Mr. Siani Pires will assume the role of Executive Vice President and Chief Financial Officer effective January 1, 2025.

BOD:

Name	Title	Independent Director?	Status	Age	Gender	Office	Begin Year	End Year	Tenure	Phone	Email	Biography
Gregory Lorne Ebel	Chairman of the Board	Yes	Current	60	Male	NA	2018	2026	7y, 5m	NA	NA	Mr. Gregory Lorne Ebel, also known as Baker Hughes Company (formerly kno since May 10, 2019 until January 25, 2 Officer and President...View All
Bruce M. Bodine Jr.	Board Director/Trustee	No	Current	53	Male	NA	2023	2026	2y, 2m	NA	bruce.bodine@mosaicco.com *	Mr. Bruce M. Bodine, Jr. serves as Pres since August 29, 2023 and serves as it 2024. He had been Senior Vice Preside since April...View All
Cheryl K. Beebe	Board Director/Trustee	Yes	Current	69	Female	NA	2019	2026	6y, 5m	NA	NA	Ms. Cheryl K. Beebe served as Indepe December 08, 2020 until 2024. Ms. Be The Mosaic Company since May 23, 20 Corporation since...View All
David Thomas Seaton	Board Director/Trustee	Yes	Current	63	Male	NA	2019	2026	6y, 1m	NA	NA	Mr. David Thomas Seaton is Independe April 30, 2025. Mr. Seaton serves as In March, 2020. He serves as an Indepen September 9,...View All
Emery N. Koenig	Board Director/Trustee	Yes	Current	69	Male	NA	2010	2026	15y	NA	NA	Mr. Emery N. Koenig has been an Indep since October 7, 2010. He served as Ch since June 2011 until September 2013 September 2013. Mr...View All
Gretchen Hauser Watkins	Board Director/Trustee	Yes	Current	56	Female	NA	2020	2026	5y, 5m	NA	gretchen.watkins@mosaicco.com *	Ms. Gretchen Hauser Watkins served a 2025 and U.S. Country Chair at Shell U since December 21, 2018. She had bee Unconventionals at Shell...View All
João Roberto "Joo" Gonçalves Teixeira	Board Director/Trustee	Yes	Current	60	Male	NA	2022	2026	2y, 11m	NA	NA	Mr. João Roberto Gonçalves Teixeira se Votorantim S.A. Mr. Teixeira serves as Banco ABN AMRO Real S.A. Mr. Teixeir investment...View All
Jody L. M. Kuzenko	Board Director/Trustee	Yes	Current	55	Female	NA	2024	2026	1y, 9m	(647) 725-9982	jody.kuzenko@torexgold.com	Ms. Jody L. M. Kuzenko, LL.B.,ICD.D, is I Company from January 01, 2024. She I Non-Independent Director of Torex Go served as its...View All
Kathleen M. Shanahan	Board Director/Trustee	Yes	Current	66	Female	NA	2025	2026	9m	NA	NA	Ms. Kathleen M. Shanahan is Indepen from May 6, 2025. She is Independent January 13, 2025. She serves as Direc Great Lakes...View All
Kelvin R. Westbrook	Board Director/Trustee	Yes	Current	69	Male	NA	2016	2026	9y, 2m	NA	NA	Mr. Kelvin R. Westbrook, J.D., was Dire to June 2025. He served as an Indepen 30, 2013 until June 06, 2025. Mr. West Executive...View All
Average				62					7y, 2m			

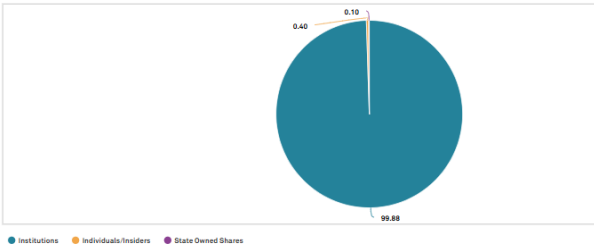
* On January 13, 2025, the Board of Directors elected Sonya C. Little, former Executive Vice President, Chief Administrative Officer of Strategic Property Partners LLC, and Kathleen M. Shanahan, Senior Advisor and former Chief Executive Officer of Turtle & Hughes, Inc., to serve as a director of the Company, for a term expiring at the annual meeting of shareholders in 2025 or until each candidate's successor is elected and qualified. Ms. Little was appointed to serve as a member of the Audit Committee and Ms. Shanahan to serve as a member of the Compensation and Human Resources Committee effective as of January 13, 2025.

Ownership

Ownership Summary

Type	Common Stock Equivalent Held	Percent of Common Shares Outstanding (%)	Market Value ($M)
Institutions	317,009,897	99.88	11,019.3
Individuals/Insiders	1,276,371	0.40	44.4
State Owned Shares	319,688	0.10	11.1
Total	**317,378,326**	**100.38**	**11,074.7**

Summary: Percent of Common Shares Outstanding (%)



Float Summary

The Mosaic Co.	
Standardized Data	
Oct-02-2025	
Company Employees/ Individual Insiders	1,276,371
+ State Owned Shares	319,688
= Total Shares Excluded From Float	1,596,059
Free Float Shares	315,782,267
/ Shares outstanding	317,378,326
= Float%	100

Thanks,

Michelle Mongiello, MBA, CPCU
Senior Underwriter
Financial Lines

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